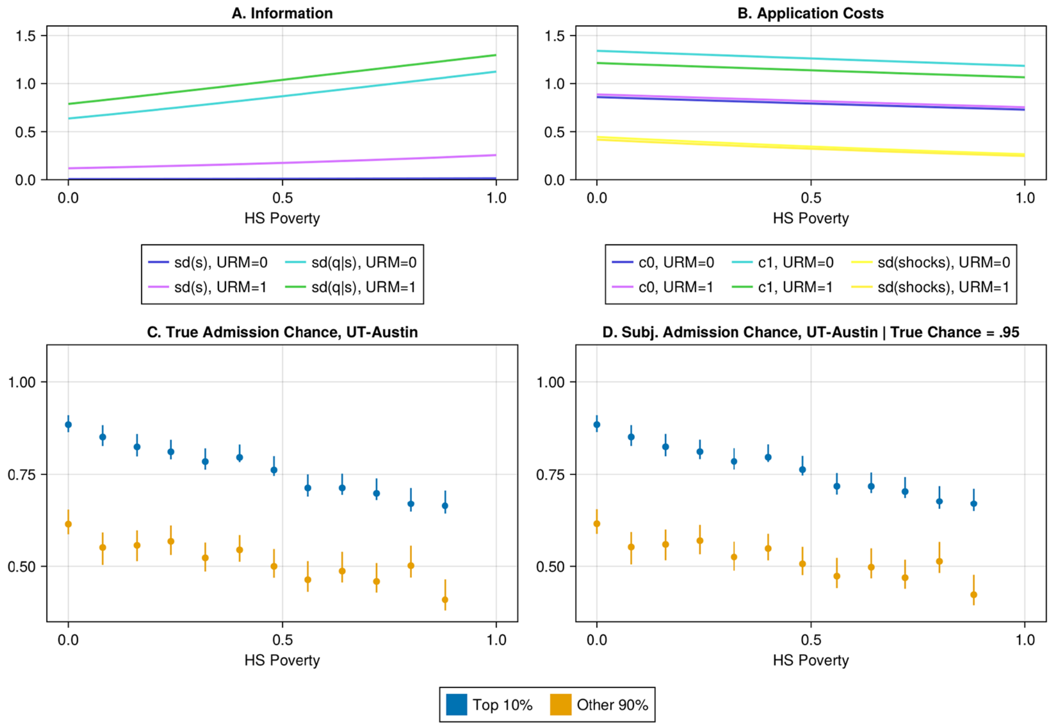


FIGURE 2.—Costs, Information, and Admission Parameters. *Note*: Panels A and B show estimated standard deviations of signal and caliber, and application cost terms, by poverty rate and URM status. Panel C shows average true admissions chance at UT Austin by top-decile status and poverty rate (for top-decile students, model-predicted discretionary admissions chance is shown). Panel D: Similar to panel C, but conditions on having the value of $q_i$ that makes admissions chance at UT Austin exactly equal to 0.95.

from higher-poverty high schools. While the variance of the signal is also increasing at the point estimates, reflecting a greater extent of private information, the variance of $q$ conditional on $s$ is considerably larger. An interpretation is that students from poorer schools face greater residual uncertainty. Conditional on poverty rate, URM applicants' private signals $s$ are marginally informative, but they face greater residual uncertainty $q|s$. Hence these students may benefit more from an admissions guarantee.

Panel B of Figure 2 shows that application costs, unlike uncertainty, do not seem to be increasing in poverty rate or URM status. While mean costs fall somewhat in poverty rate, so does the variance of shocks $\varepsilon^{\text{app}}$ that might explain application "mistakes." Underlying information and application-cost parameter estimates and standard errors are given in Appendix Table I.

The remainder of the figure shows that applicants from higher-poverty high schools face (or would face) lower admissions chances if not guaranteed admission, and that even if they are very likely to be admitted, they tend not to know it. Panel C shows mean admissions chances at UT Austin, by poverty-rate decile, separately for top-decile and nontop-decile applicants. For top-decile applicants, admissions chances via the discretionary channel (i.e., if Texas Top Ten were not available, but all else was held fixed) are shown. Points are means within a HS poverty decile; bars show 95% bootstrap confidence intervals. The average top-decile applicant from the most affluent high school would have